Week 3 Ch 14

Other Lending Institutions



Outline

- Trust Companies
- Mortgage Loan Companies
- Credit Unions and Caisses Populaires
  - Industry Composition, Pros and Cons, Industry Performance, Organizational Structure, Regulation
- Finance Companies
  - Types of Finance Companies, Regulation, Industry Performance, Global Issues

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Trust Companies

- A depository institution also serving as a corporate trustee with two distinct roles:
  - intermediation function by accepting deposits and making loans (mainly mortgages)
  - fiduciary function by providing estates, trusts and agencies business (i.e., administering assets it does not own)
- Trust companies and mortgage loan companies are founded as separate kinds of institutions in Canada.
- The industry underwent major changes in the 1960s.

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Trust Companies



- The first Canadian trust company arose in 1843.
- Legislative reforms over the years allowed banks and insurance companies to own trust companies.
  - E.g., TD acquired Canada Trust in 2000 to form TD Canada Trust.
  - Most are subsidiaries of banks and insurers; independent ones are a small portion.
- Clients who do not want to manage their day-to-day finances benefit from using a trust company as one-stop-shopping.

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Mortgage Loan Companies



- As banks were long precluded from offering residential mortgages, mortgage loan companies (MLCs) filled the need.
- MLCs and trust companies are together known as trust and loan companies (TMLs), one of the four pillars in Canadian financial services industry up to the mid 1980s.
- TMLs take deposits and primarily make residential mortgage loans, but also make loans for commercial properties.

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Mortgage Loan Companies



- TMLs fund their assets with chequable and savings deposits, term deposits, GICs and debentures.
- “Borrowing short and lending long” easily exposes TMLs to interest-rate risks and liquidity risks.
- To properly address issues, TMLs must have the following:
  - adequate amount of liquid assets associated with their cash flows and lending practices
  - contingency plan in place for funding requirement
  - timely statement of risk assessment results to be reported to the OSFI

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Credit Unions and Caisses Populaires
Overview



- In Canada, credit unions (people's banks) and caisses populaires (savings banks) are the two cooperative banks that focus on servicing their members only.
  - Credit union first established at St. Francis Xavier University in Antigonish, Nova Scotia in the late 1920 following people's bank movement during the 19th century.
  - Caisses populaires first established in Levis, Quebec by Desjardins in 1900 following the mutual savings bank movement in Europe during the 18th century.

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Credit Unions and Caisses Populaires
Overview



- Credit unions and caisses populaires are local alternatives to savings and borrowing institutions.
- A credit union or caisse populaire can be set up by a handful of members with a minimum share capital contribution from each member between $5 and $25.
- Membership is traditionally based on a shared “common bond of association” such as being in the same industry, trade union or community.
- This common bonding requirement has restricted the growth of these institutions.

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Credit Unions and Caisses Populaires
Industry Composition



- Caisses populaires are centred in Quebec while credit unions appear in the rest of Canada.
- Currently, there are 241 credit unions and caisses populaires outside Quebec and 271 under the Desjardins Group in Quebec.
- The importance of these institutions varies from province to province.

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Credit Unions and Caisses Populaires
Industry Composition



- Ten largest credit unions (excluding Quebec):
  - Vancity
  - Coast Capital Savings Credit Union
  - Meridian Credit Union
  - Servus Credit Union
  - First West Credit union
  - Conexus Credit Union
  - Steinbach Credit Union
  - Affinity Credit Union
  - Alterna Savings and Credit Union
  - Connect First Credit Union

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Credit Unions and Caisses Populaires
Pros and Cons



- The advantages of a cooperative structure that provides services to members:
  - earn higher interest rates than big banks, but not as high as Tangerine and EQ Bank
  - pay lower transaction fees
  - get discounted rates for personal loans, mortgages
  - have superb customer services with personalized attention
  - stronger support from local entities for community developments

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Credit Unions and Caisses Populaires
Pros and Cons



- This cooperative structure has disadvantages too:
  - common bond membership is required, which typically involves a cost such as equity share purchased
  - fewer financial products offered
  - limited accesses with fewer branch locations to confined areas
  - technology deficiencies
  - benefits may not be shared equally by members

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Credit Unions and Caisses Populaires
Industry Performance



- With no pressure from shareholders, credit unions and caisses populaires report to their members, who are part owners.
- Profits (measured by return on assets, ROA) are not necessarily their primary goal.
- With simpler financial structures and democratic management styles, they just need to have sufficient capital to cover financial and operational risks.

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Credit Unions and Caisses Populaires
Industry Performance



- Credit unions and caisses populaires make money from transaction fees, interest on loans, mortgages and credit cards paid by their members.
- Although they will likely remain small compared to other financial institutions, their cost advantages have contributed toward their growth and popularity.
- They have become more important in bank mergers with branch closures in small towns and remote communities in Canada.

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Credit Unions and Caisses Populaires
Industry Performance



- Credit unions concentrate more on providing their members with consumer loans that are funded by members' shares rather than deposits.
  - Emphasize the provision of credit facilities for the "little man."
- Caisses populaires emphasize residential mortgage lending and deposit taking.
  - Encourage the habit of savings.

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Credit Unions and Caisses Populaires
Organizational Structure



- Due to various operating scales, each local entity may have its own financial problems.
- To help each other, a three-tier structure is formed by local credit unions, provincial credit union centrals and the Canadian Credit Union Association (CCUA).
  - The CCUA is the national credit union trade association acting as a central bank for credit unions.
  - All provinces outside Quebec have credit union centrals with which local credit unions are affiliated.

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Credit Unions and Caisses Populaires
Organizational Structure



- The system in Quebec is slightly different but also includes three tiers.
- Local caisses populaires are organized into eleven federations belonging to the Desjardins Group.
- As this group consists of other financial and service organizations, the complex structure makes it difficult to differentiate their individual functions.
- Besides acting as a central bank, the entire group serves as a regulator for system stability.

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Credit Unions and Caisses Populaires
Regulation



- Most credit unions and caisses populaires are regulated at the provincial/territorial level.
- Regulators are responsible for ensuring these institutions follow sound financial practices and submit annual financial statements with external auditors.
  - Each institution is visited by the regulator once a year.
- Each province has legislation to define the statutory liquidity for a credit union to maintain at its central credit union.

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Credit Unions and Caisses Populaires
Regulation



- Credit unions and caisses populaires are not directly covered by the Canada Deposit Insurance Corporation (CDIC).
- Each provincial/territorial government has an agency providing deposit guarantees.
- Funds are protected at varying levels by provincial and territorial agencies.
  - Effective June 2019, the Financial Service Regulatory Authority (FSRA) of Ontario has replaced the Deposit Insurance Corporation of Ontario (DICO).

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Credit Unions and Caisses Populaires
Regulation



- FSRA protects depositors of Ontario credit unions and caisses populaires from loss of their deposits up to $250,000.
- Deposits in registered account (e.g., RRSP, RRIF, TFSA) are insured with no maximum.
  - Other terms are quite similar to the CDIC's.
- All credit unions incorporated in Ontario are required by legislation to be insured by FSRA.
  - Each member is required to display a blue-coloured official decal to confirm its status.

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Finance Companies
Overview



- Renamed in 1998, finance companies are now known as non-depository credit intermediaries in Canada.
- Like banks, they offer lending services such as mortgages, loans, equipment leasing and credit cards, but no depository function.
- Finance companies in Canada are dominated by unregulated institutions that are subsidiaries of US-based firms.
  - E.g., Ford Credit Canada is the financing arm of the US automobile manufacturer.

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Finance Companies
Overview



- The history of finance companies can be traced back to the 1800s.
- Retail firms allowed installment credit, which increased their sales, generated more profit, and created a market for finance companies.
- They act as intermediaries in the money market by borrowing in large amounts but often lending in small amounts, unlike banks.
- Although they lend to many of the same customers as banks, they are virtually unregulated.

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Finance Companies
Overview

Financial Institution	Interaction with Finance Companies
Banks	Compete with finance companies for consumer loan business (including credit cards), commercial loans and leasing
Credit Unions	Compete with finance companies for consumer loan business
Securities Firms	Underwrite bonds that are issued by finance companies
Pension Funds	Compete with insurance subsidiaries of finance companies that manage pension plans
Insurance Companies	Compete directly with insurance subsidiaries of finance companies

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Finance Companies
Types of Finance Companies



- Sales finance institutions: specialize in loans to customers of a particular retailer or manufacturer
  - E.g., Ford Credit Canada, GE Capital
- Personal credit institutions: specialize in installments and other loans to consumers
  - E.g., Easyfinancial, iCash
- Business credit institutions: specialize in business loans, especially through equipment leasing and factoring
  - E.g., Hitachi Capital Canada

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Finance Companies
Types of Finance Companies



- Personal credit institutions make loans to riskier customers at higher interest rates than banks.
  - Subprime lenders are finance companies that lend to subprime borrowers, accepting items not taken by banks for collaterals and charging unfairly exorbitant rates
    - E.g., may accept cars and charge more than 60% annually
  - These personal credit institutions are often owned by a manufacturer who uses them to make loans to consumers interested in purchasing its goods.

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Finance Companies
Types of Finance Companies



- Some high-risk customers may not have any source of loans except personal credit institutions.
  - Payday lenders provide short-term cash advances that are often due when borrowers receive their next paycheque.
    - 80 companies are listed in Canada.
    - Effective January 1, 2018, the maximum total cost of borrowing for a payday loan is $15 per $100 advanced for two weeks.

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Finance Companies
Types of Finance Companies



- Business credit institutions often have advantages over banks with respect to business loans:
  - They are not subject to regulations that restrict the type of products and services they can offer.
  - They do not accept deposits—accordingly, bank-type regulators do not monitor their behaviour.
  - They often have substantial industry and product expertise.
  - They are more willing to accept risky customers.
  - They generally have lower overhead than banks.

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Finance Companies
Types of Finance Companies



- Floor plan loans are common in the auto industry.
- Finance company pays for the car dealership's inventory from the manufacturer and puts a lien on each car on the showroom floor to secure the loans.
- When a car is sold, the dealer must pay off the debt owed on it before the finance company will provide a clear title of ownership.
- The dealer must pay the finance company interest on the floor loans until the inventory has been sold off.
  - Curtailment schedules vary by floor plan providers

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Finance Companies
Regulation



- Not subject to the Bank Act or CDIC, as they do not accept deposits.
- Much lower regulatory burden than depository institutions.
- Subject to the Consumer Protection Act.
  - Truth in leading legislation: disclose the APR charged
  - Usury statutes: set a ceiling on interest rates that can be charged on finance company loan
  - Bankruptcy statutes: eliminate debt and retain ownership of many assets

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Finance Companies
Regulation



- Even with less regulatory scrutiny, finance companies must signal safety and soundness to capital markets in order to obtain funds.
  - Have a higher capital-to-total-asset ratio (8.60%) than banks (4.52%)
- Sales finance companies may employ default protection guarantees or borrow directly from parent company.

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Finance Companies
Industry Performance



- Strong loan demand
- Strong profits for the largest firms
  - E.g., HSBC Finance, Associates First Capital, Beneficial
  - Effects of low interest rates
- Most successful finance companies have become takeover targets
  - Citigroup: merged with Associates First Capital
  - Household International: merged with HSBC Holdings
  - CIT: merged with Laurentian Capital

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Finance Companies
Industry Performance



- Primary asset of a typical finance company is the loan portfolio.
- Assets (use of finance company funds):
  - Consumer loans (58.5%)
  - Business loans (28.7%)
  - Mortgages (12.8%)
- Increase in real estate loans with second mortgages.
- Growth in leasing.
- Finance companies face credit risk, interest rate risk and liquidity risk.

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Finance Companies
Industry Performance



- Liabilities (sources of funds):
  - Corporate papers (77%) having short maturities of 30 days or less
  - Debt consisting of longer-term notes & bonds (23%)
- Finance companies rely heavily on issuing corporate papers (frequently through direct sale programs).
  - Corporate papers are short-term unsecured promissory notes sold by high credit quality corporations.
  - Have bank lines of credit as backup.
- Consequently, management of liquidity risk differs from commercial banks relying on deposits.

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Finance Companies
Global Issues



- Largest finance companies are in the US.
- Most Canadian finance companies are subsidiaries of US companies.
- In foreign countries, finance companies are generally subsidiaries of commercial banks or industrials.
- In Japan, ownership of finance companies by banks created opportunities when banks hit by increase in nonperforming loans.
  - GE Capital/Japan Leasing Corporation

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